

Rajinder Singh Gandhi vs Kunal Arora on 30 October, 2025

Rajinder Singh Gandhi V. Kunal Arora

IN THE COURT OF SH. VIJAY SHANKAR,
ADDITIONAL SESSIONS JUDGE - 04, (WEST DISTRICT)
TIS HAZARI COURTS, DELHI

CR NO.: - 453/2024
CNR NO.: - DLWT01-008290-2024

IN THE MATTER OF :-

Rajinder Singh Gandhi
R/o D-20A, Tilak Vihar,
Tilak Nagar, New Delhi-110018

....Revisionist

VERSUS

Kunal Arora
S/o Sh. Ved Prakash
R/o House No. F-80A, Tilak Vihar,
Tilak Nagar, New Delhi-110018

.... Respondent

Date of institution of the revision petition : 24/09/2024
Date on which judgment was reserved : 15/10/2025
Date of judgment : 30/10/2025

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CR No. 453/2024

Page No.1 of 31

Rajinder Singh Gandhi V. Kunal Arora

JUDGMENT

1. By way of present judgment, this Court shall conscientiously adjudicate upon criminal revision petition under section 397 of the Code of Criminal Procedure, 1973 (hereinafter referred to as "Cr.P.C.") (Section 438 BNSS, 2023) filed by the revisionist against the order dated 29/04/2024 (hereinafter referred to as 'impugned order') passed by Sh. Bhavaya Karhail, Ld. Metropolitan Magistrate (NI Act-02), West District, Tis Hazari Courts, Delhi and against the orders dated 20/06/2024 and 27/08/2024 passed by Sh. Rahul Verma, Ld. Metropolitan Magistrate/Judicial Magistrate First Class (NI Act-02), West District, Tis Hazari Courts, Delhi, in Complaint Case No.

1847/2024 u/s 138 NI Act titled as "Kunal Arora V. Rajinder Singh Gandhi."

In the present revision petition, the revisionist has prayed to set- aside the orders dated 29/04/2024, 20/06/2024 and 27/08/2024 passed by the Ld. Trial Court and to stay the trial and to discharge the accused in the aforesaid complaint case.

It is pertinent to mention here that in the present case, it was submitted by the revisionist and his counsel before this Court that they are not pressing the present revision petition against the orders dated 20/06/2024 and 27/08/2024 passed by the Ld. Trial Court, however, they are pressing the present revision petition against the impugned order dated 29/04/2024 passed by the Ld. Trial Court. Accordingly, at the request of revisionist and his counsel, the present revision petition of the revisionist was dismissed as withdrawn vide order dated by VIJAY VIJAY SHANKAR SHANKAR Date: 2025.10.30 16:39:22 -0200 Rajinder Singh Gandhi V. Kunal Arora 15/10/2025 passed by this Court qua the impugned orders dated 20/06/2024 and 27/08/2024 passed by the Ld. Trial Court.

2. Brief facts necessary for just adjudication of the present revision petition as stated in the present revision petition are that the revisionist/ accused has filed the present revision petition against the summoning order dated 29/04/2024. Complainant had filed the complaint case u/s 138 NI Act against the accused based on a cheque dated 19/02/2024 amounting to Rs.2,50,000/- (Rupees Two Lakh Fifty Thousand only) drawn on Andhra Bank. As per the complaint, the bank of the complainant is Kotak Mahindra Bank, Vikas Puri Branch and the said cheque was deposited in the same branch on 19/02/2024 from where the same was got bounced due to reason "Bank Merging" vide bank receipt dated 07/03/2024. Ld. Trial Court does not have the jurisdiction to try the aforesaid complaint case as Vikas Puri comes in South-West District i.e. Dwarka Courts. All the cheques drawn on Andhra Bank seized to be called cheque as Andhra Bank was merged with Union Bank of India after the approval from Union Cabinet on 02/01/2019 and the said bank was merged with Union Bank of India on 01/04/2019 and further, cheque book of Andhra Bank was declared invalid after 30/06/2021. Hence, on the alleged date of issuing the cheque, the said bank was not in existence. After the closure of the said bank, cheque book, etc. were of no use. Cheque in question was dishonored due to the reason "bank merged, take new leaf".

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Rajinder Singh Gandhi V. Kunal Arora

3. Revisionist has challenged the impugned order on the grounds, as mentioned in the present

revision petition.

Grounds of revision- Ld. Trial Court does not have the jurisdiction to try the aforesaid complaint case as Vikas Puri area comes in South-West District i.e. Dwarka Courts. Cheque drawn on Andhra Bank seized to be called cheque as Andhra Bank was merged with Union Bank of India after the approval from Union Cabinet on 02/01/2019 and the said bank was merged with Union Bank of India on 01/04/2019 and further, cheque book of Andhra Bank was declared invalid after 30/06/2021.

4. Respondent has contested the present revision petition of the revisionist by filing detailed reply, wherein preliminary objections have been taken by the respondent that the present revision petition is not maintainable in the eyes of law. Revisionist has not approached the Court with clean hands. Revisionist has concealed the true facts of the case willingly to take undue favour from the Court. Revision petition is barred by limitation. Ld. Trial Court has taken the cognizance against the revisionist after going through all the detailed facts of the case and after considering all the relevant provisions of law and thus, the summoning order is perfect and according to the mandatory provision of law.

On merits, the para-wise reply has been given by the respondent to the present revision petition of the revisionist by denying the allegations/contentions of the revisionist and the respondent has prayed for dismissal of the present revision petition with cost. Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

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Rajinder Singh Gandhi V. Kunal Arora

5. This Court heard the arguments on the present revision petition advanced by Ld. Counsel for the parties. Perused the material available on record.

During the course of arguments, it was submitted by Ld. Counsel for the revisionist that the impugned order is not an interlocutory order and the present revision petition against the impugned order is maintainable and impugned order is liable to be set-aside on the grounds as mentioned in the present revision petition. On the other hand, it was submitted by Ld. Counsel for the respondent that the Ld. Trial Court has passed the impugned order in accordance with law and there is no merits in the present revision petition and the same is liable to be dismissed.

Counsel for the revisionist in support of his contentions has relied upon the case law titled as Prakash Chimanlal Sheth V. Jagruti Keyur Rajpopat"

{2025 INSC 897}.

Counsel for the respondent in support of his contentions has relied upon the following case laws:-

(a) Premanand Prusty Vs. Sita Devi {Crl. M.C. 1566/2023, Crl. M.A. 5958/2023 & 12000/2023 decided by the Hon'ble High Court of Delhi on 17/11/2023}

(b) Lalit Chandra Chanda Choudhury Vs. Emperor {1912 ILR 39 CAL 119}

6. By way of present revision petition, the revisionist has Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:39:38 -0200 Rajinder Singh Gandhi V. Kunal Arora challenged the order dated 29/04/2024 passed by the Ld. Trial Court. The impugned order is reproduced as under:-

" 29.04.2024 Fresh complaint received through digital mode. It be checked and registered.

Present: Sh. H.R. Dhamija, Ld. Counsel for complainant with complainant.

This is complaint filed for offence punishable under Section 138 N.I. Act. Complaint, affidavit of evidence and other annexed documents perused. The present complaint has been filed within the limitation period.

In matter of "A. C. Narayanan Vs. State of Maharashtra & Anr." (2014) 11 Supreme Court Cases 790, Full Bench of Hon'ble Supreme Court of India has held as under-

"29. From a conjoint reading of Sections 138, 142 and 145 of the NI Act as well as Section 200 of the Code, it is clear that it is open to the Magistrate to issue process on the basis of the contents of the complaint, documents in support thereof and the affidavit submitted by the complainant in support of the complaint. Once the complainant files an affidavit in support of the complaint before issuance of the process under Section 200 of the Code, it is thereafter open to the Magistrate, if he thinks fit, to call upon the complainant to remain present and to examine him as to the facts contained in the affidavit submitted by the complainant in support of his complaint. However, it is a matter of discretion and the Magistrate is not bound to call upon the complainant to remain present before the VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:39:43 -0200 Rajinder Singh Gandhi V. Kunal Arora court and to examine him upon oath for taking decision whether or not to issue process on the complaint under Section 138 of the NI Act. For the purpose of issuing process under Section 200 of the Code, it is open to the Magistrate to rely upon the verification in the form of affidavit filed by the complainant in support of the complaint under Section 138 of the NI Act. It is only if and where the Magistrate, after considering the complaint under Section 138 of the NI Act, documents produced in support thereof and the verification in the form of affidavit of the complainant, is of the view that

examination of the complainant or his witness (s) is required, the Magistrate may call upon the complainant to remain present before the court and examine the complainant and/or his witness upon oath for taking a decision whether or not to issue process on the complaint under Section 138 of the NI Act."

The complaint, affidavit of evidence and documents considered in light of above cited judgment. In the opinion of this Court, there is no need to examine the complainant on oath as present complaint is duly supported by verification in the form of affidavit of the complainant. Thus, there are prima facie sufficient grounds for proceeding against the accused for offence punishable under Section 138 N.I. Act.

Hence, issue summons against the accused on filing of PF/RC returnable on 20.06.2024. Steps to be taken within 15 days.

(BHAVAYA KARHAIL) MM (NI ACT-02), WEST 29.04.2024 "

7. For the sake of ready reference, section 397 Cr.P.C. is reproduced VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:39:48 -0200 Rajinder Singh Gandhi V. Kunal Arora as under:-

Section 397:- Calling for records to exercise powers of revision: (1) The High Court or any Sessions Judge may call for and examine the record of any proceeding before any inferior Criminal Court situate within its or his local jurisdiction for the purpose of satisfying itself or himself as to the correctness, legality or propriety of any finding, sentence or order, recorded or passed, and as to the regularity of any proceedings of such inferior Court, and may, when calling for such record, direct that the execution of any sentence or order be suspended, and if the accused is in confinement, that he be released on bail or on his own bond pending the examination of the record.

Explanation- All Magistrates, whether Executive or Judicial, and whether exercising original or appellate jurisdiction, shall be deemed to be inferior to the Sessions Judge for the purposes of this sub-section and of section

398.

(2) The powers of revision conferred by sub-section (1) shall not be exercised in relation to any interlocutory order passed in any appeal, inquiry, trial or other proceeding.

(3) If an application under this section has been made by any person either to the High Court or to the Sessions Judge, no further application by the same person shall be entertained by the other of them.

8. A plain reading of Section 397 Cr.P.C. makes it manifest that Section 397(1) Cr.P.C. enables the aggrieved parties to question the correctness, legality or propriety of any finding, sentence or order recorded or passed by the Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:39:54 -0200 Rajinder Singh Gandhi V. Kunal Arora inferior court before the revisional court i.e. the High Court or the Sessions Judge as concurrent jurisdiction is conferred on the High Court and the Sessions Judge by the Section. Now, it is significant to note that Section 397 (2) Cr.P.C. mandates that the power of revision conferred by sub-section (1) of Section 397 Cr.P.C. shall not be exercised in relation to any interlocutory order in any appeal, enquiry, trial or other proceeding. Therefore, express bar is created by the legislation under section 397 (2) Cr.P.C. to entertain revision against an interlocutory order.

The term "interlocutory order" as mentioned in section 397 (2) Cr.P.C. denotes orders of a purely interim or temporary nature which do not decide or touch the important rights or liabilities of the parties. An order which is pure and simple interlocutory order, which do not decide anything finally is to be considered as interlocutory order and no revision against that interlocutory order is maintainable under section 397(1) Cr.P.C. in view of the express bar imposed under section 397(2) Cr.P.C.

There are three categories of orders that a Court can pass- final, intermediate and interlocutory. There is no doubt that in respect of a final order, a Court can exercise its revision jurisdiction- that is in respect of a final order of acquittal or conviction. There is equally no doubt that in respect of an interlocutory order, the Court cannot exercise its revision jurisdiction. As far as an intermediate order is concerned, the Court can exercise its revision jurisdiction since it is not an interlocutory order. An intermediate order is one which is interlocutory order in nature but when reversed, it has the effect of Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:39:58 -0200 Rajinder Singh Gandhi V. Kunal Arora terminating the proceedings and thereby resulting in a final order.

9. It was held by Hon'ble Supreme Court of India in case titled as "Amar Nath & Ors. V. State of Haryana & Anr." {(1977) 4 SCC 137} that:-

"The main question which falls for determination in this appeal is as to what is the connotation of the term "interlocutory order"

as appearing in sub-section (2) of Section 397 which bars any revision of such an order by the High Court. The term "interlocutory order" is a term of well-known legal significance and does not present any serious difficulty. It has been used in various statutes including the Code of Civil Procedure, Letters Patent of the High Courts and other like statutes. In Webster's New World Dictionary "interlocutory" has been defined as an order other than final decision. Decided cases

have laid down that interlocutory orders to be appealable must be those which decide the rights and liabilities of the parties concerning a particular aspect. It seems to us that the term "interlocutory order" in Section 397(2) of the 1973 Code has been used in a restricted sense and not in any broad or artistic sense. It merely denotes orders of a purely interim or temporary nature which do not decide or touch the important rights or the liabilities of the parties. Any order which substantially affects the right of the accused, or decides certain rights of the parties cannot be said to be an interlocutory order so as to bar a revision to the High Court against that order, because that would be against the very object which formed the basis for insertion of this particular provision in Section 397 of the 1973 Code. Thus, for instance, orders summoning witnesses, adjourning cases, passing orders for bail, calling for reports and such other steps in aid of the pending proceeding, may no doubt amount to interlocutory orders against which no revision would lie under Section 397 (2) of the 1973 Code. But orders which are matters of moment and which affect or adjudicate the rights of the accused or a VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:04 -0200 Rajinder Singh Gandhi V. Kunal Arora particular aspect of the trial cannot be said to be interlocutory order so as to be outside the purview of the revisional jurisdiction of the High Court".

It was also held by Hon'ble Supreme Court of India in case titled as " V.C. Shukla V. State through C.B.I." (AIR 1980 SC 962] that:-

(1) that an order which does not determine the rights of the parties but only one aspect of the suit or the trial is an interlocutory order;

(2) that the concept of interlocutory order has to be explained, in contradistinction to a final order. In other words, if an order is not a final order, it would be an interlocutory order;

(3) that one of the tests generally accepted by the English Courts and the Federal Court is to see if the order is decided in one way, it may terminate the proceedings but if decided in another way, then the proceedings would continue; because, in our opinion, the term 'interlocutory order' in the Criminal Procedure Code has been used in a much wider sense so as to include even intermediate or quasi final orders;

(4) that an order passed by the Special Court discharging the accused would undoubtedly be a final order inasmuch as it finally decides the rights of the parties and puts an end to the controversy and thereby terminates the entire proceedings before the court so that nothing is left to be done by the court thereafter;

(5) that even if the Act does not permit an appeal against an interlocutory order the accused is not left without any remedy because in suitable cases, the accused can always move this Court in its jurisdiction under Art. 136 of the Constitution even VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:08 -0200 Rajinder Singh Gandhi V. Kunal Arora against an order framing charges against the accused. Thus, it cannot be said that by not allowing an appeal against an order framing charges, the Act works serious injustice to the accused.

It was also held by Hon'ble Supreme Court of India in case titled as "Poonam Chand Jain & Anr. V. Fazru" {(2004) 13 SCC 269} that:-

"Wharton's Law Lexicon (14th Edn. p. 529) defines interlocutory order thus:

"An interlocutory order or judgment is one made or given during the progress of an action, but which does not finally dispose of the rights of the parties."

"Thus, summing up the natural and logical meaning of an interlocutory order, the conclusion is inescapable that an order which does not terminate the proceedings or finally decides the rights of the parties is only an interlocutory order. In other words, in ordinary sense of the term, an interlocutory order is one which only decides a particular aspect or a particular issue or a particular matter in a proceeding, suit or trial but which does not however conclude the trial at all."

The principles/guidelines regarding the scope of criminal revision petition have also been laid-down by Hon'ble Supreme Court of India in case titled as "Girish Kumar Suneja V. Central Bureau of Investigation" {(2017) 14 SCC 809} and it was held that :-

"15. While the text of sub-section (1) of Section 397 Cr.P.C. appears to confer very wide powers on the court in the exercise of its revision jurisdiction, this power is equally severely curtailed by sub-section (2) thereof. There is a complete prohibition on a court exercising its revision jurisdiction in respect of interlocutory orders. Therefore, what is the nature of VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:13 -0200 Rajinder Singh Gandhi V. Kunal Arora orders in respect of which a court can exercise its revision jurisdiction?

16. There are three categories of orders that a court can pass final, intermediate and interlocutory. There is no doubt that in respect of a final order, a court can exercise its revision jurisdiction - that is in respect of a final order of acquittal or conviction. There is equally no doubt that in respect of an interlocutory order, the court cannot exercise its revision jurisdiction. As far as an intermediate order is concerned, the court can exercise its revision jurisdiction since it is not an interlocutory order.

21. The concept of an intermediate order was further elucidated in Madhu Limaye Vs. State of Maharashtra by contradistinguishing a final order and an interlocutory order.

This decision lays down the principle that an intermediate order is one which is interlocutory in nature but when reversed, it has the effect of terminating the proceedings and thereby resulting in a final order. Two such intermediate orders immediately come to mind - an order taking cognizance of an offence and summoning an accused and an order for framing charges. Prima facie these orders are interlocutory in nature, but when an order taking cognizance and summoning an accused is reversed, it has the effect of terminating the proceedings against that person resulting in a final order in his or her favour. Similarly, an order for framing of charges if reversed has the effect of discharging the accused person and resulting in a final order in his or her favour. Therefore, an intermediate order is one which if passed in a certain way, the proceedings would terminate but if passed in another way, the proceeding would continue.

22. The view expressed in Amar Nath and Madhu Limaye was followed in K.K. Patel V. State of Gujarat wherein a VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:17 -0200 Rajinder Singh Gandhi V. Kunal Arora revision petition was filed challenging the taking of cognizance and issuance of a process. It was said: (K.K.Patel case, SCC p.201, para11) "11. It is now well-nigh settled that in deciding whether an order challenged is interlocutory or not as for Section 397 (2) of the Code, the sole test is not whether such order was passed during the interim stage (vide Amar Nath v. State of Haryana, Madhu Limaye v. State of Maharashtra, V.C. Shukla v. State and Rajendra Kumar Sitaram Pande v. Uttam). The feasible test is whether by upholding the objections raised by a party, it would result in culminating the proceedings, if so any order passed on such objections would not be merely interlocutory in nature as envisaged in Section 397(2) of the Code. In the present case, if the objection raised by the appellants were upheld by the Court the entire prosecution proceedings would have been terminated. Hence, as per the said standard, the order was revisable."

27. Our conclusion on this subject is that while the appellants might have an entitlement (not a right) to file a revision petition in the High Court but that entitlement can be taken away and in any event, the High Court is under no obligation to entertain a revision petition - such a petition can be rejected at the threshold. If the High Court is inclined to accept the revision petition it can do so only against a final order or an intermediate order, namely, an order which if set aside would result in the culmination of the proceedings. As we see it, there appear to be only two such eventualities of a revisable order and in any case only one such eventuality is before us.

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2025.10.30 16:40:22 -0200 Rajinder Singh Gandhi V. Kunal Arora Consequently the result of para 10 of the order passed by this Court is that the entitlement of the appellants to file a revision petition in the High Court is taken away and thereby the High Court is deprived of exercising the extraordinary discretionary power available

under Section 397 Cr.P.C."

It was held by Hon'ble High Court of Delhi in case titled as "Neelam Mahajan & Anr. V. The State & Ors." {(2016) 229 DLT (CN) 29} that:-

"..... In this regard catena of judgments of Hon'ble Supreme Court of India has settled the legal principle while holding that the meaning of the two words "final" and "interlocutory" has to be considered separately in relation to the particular purpose for which it is required. However, generally speaking, a judgment or order which determines the principal matter in question is termed final and simultaneously, an interlocutory order, though not conclusive of the main dispute may be conclusive as to the subordinate matter with which it deals. Therefore, in the considered opinion of this Court, if the decision on an issue puts an end to the suit, the order is undoubtedly a final one but if the suit is still left alive and has yet to be tried in the ordinary way, no finality could be attached to the order."

10. By way of present revision petition, the revisionist has challenged the impugned order dated 29/04/2024 passed by the Ld. Trial Court thereby accused/revisionist was summoned for the offence u/s 138 NI Act.

Now this Court has to see as to whether the impugned order is interlocutory, intermediate or final order.

After referring number of judgments, it was held by Hon'ble Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:27 -0200 Rajinder Singh Gandhi V. Kunal Arora Supreme Court of India in case titled as "Urmila Devi V. Yudhvir Singh." {(2013) 15 SCC 624} that order taking cognizance and issuance of summons to the accused is not an interlocutory order and criminal revision against the same is maintainable.

Hence, in view of the law laid down in Urmila Devi case (supra), it is clear that criminal revision is maintainable against the order of cognizance and summoning the accused.

11. Before proceeding further, it is relevant to mention here the proceedings before the Ld. Trial Court.

(i) Complainant (respondent herein) had filed the complaint u/s 138 NI Act against the accused (revisionist herein).

It is mentioned in the complaint u/s. 138 NI Act of the complainant that the accused had taken the friendly loan of Rs.1,50,000/- and Rs.1,00,000/- in the months of August, 2022 and October, 2022 respectively from the complainant and accused had promised to return the same within the period of three months but the accused did not return the same despite requests made by the complainant.

Thereafter, mother of the complainant had made written complaint to the police on 12/02/2024 and thereafter, the police had called both the parties and accused had issued a cheque bearing no. 000004 dated 19/02/2024 amounting to Rs.2,50,000/- drawn on Andhra Bank, Janak Puri, New Delhi in favour of the complainant and the accused had assured that the said cheque would be honoured on its presentation. As per the assurance of the accused, the complainant had Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:33 -0200 Rajinder Singh Gandhi V. Kunal Arora presented the aforesaid cheque in his bank i.e. Kotak Mahindra Bank, Vikas Puri Branch, New Delhi on 19/02/2024 but the said cheque was got dishonoured with the remarks 'bank merging' vide returning memo dated 07/03/2024. Thereafter, the complainant had informed the fate of the said cheque to the accused but he did not give any positive response to the complainant. Thereafter, the complainant had sent a legal notice dated 08/03/2024 to the accused through his counsel and the same was duly served upon the accused on 12/03/2024. Despite the service of legal notice, the accused neither paid the cheque amount nor given the reply to the legal notice.

(ii) Vide order dated 29/04/2024 passed by the Ld. Trial Court, accused was summoned for the offence u/s 138 NI Act. Now, the aforesaid complaint case is fixed before the Ld. Trial Court for framing of notice u/s 251 Cr.P.C.

12. By way of present revision petition, the revisionist has challenged the impugned order dated 29/04/2024 passed by the Ld. Trial Court, thereby the revisionist/accused was summoned for the offence u/s. 138 NI Act.

It is well settled law that the Magistrate, at the stage of taking cognizance and summoning, has to see as to whether a prima-facie case has been made out for taking cognizance and summoning the accused. For the purpose of cognizance and summoning the accused, there should be sufficient incriminating material available on record. Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

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Rajinder Singh Gandhi V. Kunal Arora Before proceeding further, it is relevant to discuss the case laws relating to the cognizance and summoning of the accused.

The parameters for taking cognizance and summoning order have been defined by the Hon'ble Supreme Court of India in case titled as "State of Gujarat V. Afroz Mohammed Hasanfatta" {AIR 2019 SC 2499} and it was held that :-

"22. In so far as taking cognizance based on the police report, the Magistrate has the advantage of the charge sheet, statement of witnesses and other evidence collected by the police during the investigation. Investigating Officer/SHO collects the necessary evidence during the investigation conducted in compliance with the provisions of the

Criminal Procedure Code and in accordance with the rules of investigation. Evidence and materials so collected are sifted at the level of the Investigating Officer and thereafter, charge sheet was filed. In appropriate cases, opinion of the Public Prosecutor is also obtained before filing the charge sheet. The court thus has the advantage of the police report along with the materials placed before it by the police. Under Section 190 (1)(b) Cr.P.C., where the Magistrate has taken cognizance of an offence upon a police report and the Magistrate is satisfied that there is sufficient ground for proceeding, the Magistrate directs issuance of process. In case of taking cognizance of an offence based upon the police report, the Magistrate is not required to record reasons for issuing the process. In cases instituted on a police report, the Magistrate is only required to pass an order issuing summons to the accused. Such an order of issuing summons to the accused is based upon subject to satisfaction of the Magistrate considering the police report and other documents and satisfying himself that there is sufficient ground for proceeding against the accused. In a case based upon the police report, at the stage of issuing the Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:42 -0200 Rajinder Singh Gandhi V. Kunal Arora summons to the accused, the Magistrate is not required to record any reason. In case, if the charge sheet is barred by law or where there is lack of jurisdiction or when the charge sheet is rejected or not taken on file, then the Magistrate is required to record his reasons for rejection of the charge sheet and for not taking on file. In the present case, cognizance of the offence has been taken by taking into consideration the charge sheet filed by the police for the offence under Sections 420, 465, 467, 468, 471, 477A and 120B IPC, the order for issuance of process without explicitly recording reasons for its satisfaction for issue of process does not suffer from any illegality.

37. For issuance of process against the accused, it has to be seen only whether there is sufficient ground for proceeding against the accused. At the stage of issuance of process, the Court is not required to weigh the evidentiary value of the materials on record. The Court must apply its mind to the allegations in the charge sheet and the evidence produced and satisfy itself that there is sufficient ground to proceed against the accused. The Court is not to examine the merits and demerits of the case and not to determine the adequacy of the evidence for holding the accused guilty. The Court is also not required to embark upon the possible defences. Likewise, 'possible defences' need not be taken into consideration at the time of issuing process unless there is an ex-facie defence such as a legal bar or if in law the accused is not liable."

It was held by Hon'ble Supreme Court of India in case titled as "Sonu Gupta V. Deepak Gupta & Ors." {Crl. Appeal No.285-287 of 2015 decided on 11/02/2015} that :-

"At the stage of cognizance and summoning the Magistrate is required to apply his judicial mind only with a view to take Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:47 -0200 Rajinder Singh Gandhi V. Kunal Arora cognizance of the offence, or, in other words, to find out whether prima facie case has been made out for summoning the accused persons. At this stage, the learned Magistrate is not required to consider the defence version or materials or arguments nor he is required to evaluate the merits of the materials or evidence of the complainant, because the Magistrate must not undertake the exercise to find out at this stage whether the materials will lead to conviction or not. It is also well settled that cognizance is taken of the offence and not the offender. Hence at the stage of framing of charge an individual accused may seek discharge if he or she can show that the materials are absolutely insufficient for framing of charge against that particular accused. But such exercise is required only at a later stage, as indicated above and not at the stage of taking cognizance and summoning the accused on the basis of prima facie case. Even at the stage of framing of charge, the sufficiency of materials for the purpose of conviction is not the requirement and a prayer for discharge can be allowed only if the court finds that the materials are wholly insufficient for the purpose of trial. It is also a settled proposition of law that even when there are materials raising strong suspicion against an accused, the court will be justified in rejecting a prayer for discharge and in granting an opportunity to the prosecution to bring on record the entire evidence in accordance with law so that case of both the sides may be considered appropriately on conclusion of trial."

It was held by Hon'ble Supreme Court of India in case titled as "Bhushan Kumar & Anr. V. State (NCT of Delhi) & Anr." {AIR 2012 SC 1747} that :-

"Section 204 of the Code does not mandate the Magistrate to explicitly state the reasons for issuance of summons. It clearly VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:52 -0200 Rajinder Singh Gandhi V. Kunal Arora states that if in the opinion of a Magistrate taking cognizance of an offence, there is sufficient ground for proceeding, then the summons may be issued. This section mandates the Magistrate to form an opinion as to whether there exists a sufficient ground for summons to be issued but it is nowhere mentioned in the section that the explicit narration of the same is mandatory, meaning thereby that it is not a pre-requisite for deciding the validity of the summons issued."

It was held by Hon'ble Supreme Court of India in case titled as "Nagawwa V. Veeranna Shivallngappa Konjalgi" {AIR 1976 SC 1947} that :-

"At the stage of issuing the process the Magistrate is mainly concerned with allegations made in the complaint or the evidence led and he is only to be prima facie satisfied whether there are sufficient grounds for proceeding against the accused. It is not the province of the Magistrate to enter into a detailed discussion on the merits or demerits of the case. The scope of the inquiry under s. 202 Cr.P.C. is extremely limited -limited to the ascertainment of the truth or falsehood of the allegations made

in the complaint: (1) on the materials placed by the complainant before the court (ii) for the limited purpose of finding out whether a prima facie case for issue of process had been made out and (iii) for deciding the question purely from the point of view of the complainant without at all adverting to any defence that the accused may have. In proceedings under s. 202 the accused has got absolutely no locus standing and is not entitled to be heard on the question whether the process should be issued against him or not.."

13. Complainant had filed the complaint u/s 138 NI Act against the accused and the same is pending before the Ld. Trial Court. Vide impugned order VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:40:58 -0200 Rajinder Singh Gandhi V. Kunal Arora dated 29/04/2024 passed by the Ld. Trial Court, the accused was summoned for the offence u/s. 138 NI Act.

For the sake of ready reference, section 138 NI Act is reproduced as under:-

Section 138- Dishonour of cheque for insufficiency, etc., of funds in the account - Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for a term which may extended to two years, or with fine which may extend to twice the amount of the cheque, or with both: Provided that nothing contained in this section shall apply unless-

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier.

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within thirty days of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:03 -0200 Rajinder Singh Gandhi V. Kunal Arora be, to the holder in due course of the cheque, within fifteen days of the receipt of the said notice.

Explanation. - For the purposes of this section, 'debt or other liability' means a legally enforceable debt or other liability.

Ingredients of Section 138 NI Act have been specified by the Hon'ble Supreme Court of India in case titled as "Gimpex Private Limited V. Manoj Goel" {(2021) SCC Online SC 925} as under:-

" The ingredients of the offence under Section 138 are:

- (i) The drawing of a cheque by person on an account maintained by him with the banker for the payment of any amount of money to another from that account;
- (ii) The cheque being drawn for the discharge in whole or in part of any debt or other liability;
- (iii) Presentation of the cheque to the bank;
- (iv) The return of the cheque by the drawee bank as unpaid either because the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account;
- (v) A notice by the payee or the holder in due course making a demand for the payment of the amount to the drawer of the cheque within 30 days of the receipt of information from the bank in regard to the return of the cheque; and
- (vi) The drawer of the cheque failing to make payment of the amount of money to the payee or the holder in due course within 15 days of the receipt of the notice".

It is also relevant to discuss the other relevant provisions of NI Act. Section 6 NI Act has prescribed the definition of cheque and cheque is Negotiable Instrument within the meaning of section 13 of the Act.

VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:07 -0200 Rajinder Singh Gandhi V. Kunal Arora Section 30 NI Act talks about the liability of the drawer.

Section 20 NI Act talks about inchoate stamped instruments. Section 87 talks about effect of material alteration of a Negotiable Instrument.

Section 118 NI Act talks about presumptions as to negotiable instruments of consideration, date, time of acceptance, time of transfer, order of endorsement, stamps and holder in due course.

Section 139 NI Act deals with presumption of law in favour of holder of a cheque. It provides that unless the contrary is proved, it shall be presumed that the holder of a cheque received the cheque for the discharge, in whole or in part, of any debt or other liability. It is a rebuttable presumption of law and the burden of proving that a cheque has not been issued for a debt or liability is on the accused.

14. Now, this Court shall proceed to decide the present revision petition of the revisionist on merits.

By way of present revision petition, the revisionist has challenged the impugned summoning order dated 29/04/2024 mainly on the ground that the Ld. Trial Court was/ is not having territorial jurisdiction to try and entertain the complaint u/s 138 NI Act of the complainant.

Section 142 (2) NI Act talks about the territorial jurisdiction of the Court to try and entertain the complaint u/s 138 NI Act. Section 142 NI Act is reproduced as under:-

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2025.10.30 16:41:12 -

Rajinder Singh Gandhi V. Kunal Arora

142. Cognizance of offences.--

(1) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974)--

(a) no court shall take cognizance of any offence punishable under section 138 except upon a complaint, in writing, made by the payee or, as the case may be, the holder in due course of the cheque;

(b) such complaint is made within one month of the date on which the cause of action arises under clause (c) of the proviso to section 138:

[Provided that the cognizance of a complaint may be taken by the Court after the prescribed period, if the complainant satisfies the Court that he had sufficient cause for not making a complaint within such period.]

(c) no court inferior to that of a Metropolitan Magistrate or a Judicial Magistrate of the first class shall try any offence punishable under section 138.] [(2) The offence under section 138 shall be inquired into and tried only by a court within whose local jurisdiction,--

(a) if the cheque is delivered for collection through an account, the branch of the bank where the payee or holder in due course, as the case may be, maintains the account, is situated; or

(b) if the cheque is presented for payment by the payee or holder in due course, otherwise through an account, the branch of the drawee bank where the drawer maintains the account, is situated.

Explanation.-- For the purposes of clause (a), where a cheque is delivered for collection at any branch of the bank of the payee or holder in due course, then, the cheque shall be deemed to have been delivered to the branch of the bank in which the payee or holder in due course, as the case may be, maintains the account.] Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:18 -0200 Rajinder Singh Gandhi V. Kunal Arora Law relating to territorial jurisdiction of the Court to try and entertain the complaint u/s 138 NI Act has been elaborated by the Hon'ble Supreme Court of India in case titled as "M/s Shri Sendhur Agro & Oil Industries V. Kotak Mahindra Bank Ltd." {2025 INSC 328} and it was held that :-

" 61. It is clear on a reading of Section 142(2)(a) and the Explanation thereto that, for the purposes of clause (a), where a cheque is delivered for collection at any branch of the bank of the payee or holder in due course, then, the cheque shall be deemed to have been delivered to the branch of the bank in which the payee or holder in due course, as the case may be, maintains the account.

62. A conjoint reading of Section 142(2)(a) along with the explanation thereof, makes the position emphatically clear that, when a cheque is delivered or issued to a person with liberty to present the cheque for collection at any branch of the bank where the payee or holder in due course, as the case may be, maintains the account then, the cheque shall be deemed to have been delivered or issued to the branch of the bank, in which, the payee or holder in due course, as the case may be, maintains the account, and the court of the place where such cheque was presented for collection, will have the jurisdiction to entertain the complaint alleging the commission of offence punishable under Section 138 of the NI Act. In that view of the position of law, the word 'delivered' used in Section 142(2) (a) of the NI Act has no significance. What is of significance is the expression 'for collection through an account'.

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Rajinder Singh Gandhi V. Kunal Arora

That is to say, delivery of the cheque takes place where the cheque was issued and presentation of the cheque will be through the account of the payee or holder in due course, and the said place is decisive to determine the question of jurisdiction." It was also held by the Hon'ble Supreme Court of India in case titled as " Prakash Chimanlal Sheth V. Jagruti Keyur Rajpopat" {2025 INSC 897} that :-

" As regards territorial jurisdiction for instituting a complaint in relation to dishonor of a cheque, Section 142(2)(a) of the NI Act makes it clear that an offence under Section 138 thereof should be inquired into and tried only by a Court within whose local jurisdiction, if the cheque is delivered for collection through an account, the branch of the bank where the payee maintains the account is situated. This provision, as it stands after its amendment in 2015, was considered in Bridgestone India Private Limited vs. Inderpal Singh and this Court affirmed that Section 142(2)

(a) of the NI Act vests jurisdiction apropos an offence under Section 138 thereof in the Court where the cheque is delivered for collection, that is, through an account in the Branch of the Bank where the payee maintains that account."

It was also held by the Hon'ble Supreme Court of India in case titled as " Yogesh Upadhyay & Anr. V. Atlanta Ltd." {Transfer petition (Crl.) No. 526-527 of 2022 decided on 21/02/2023} that :-

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2025.10.30 16:41:26 -0200 Rajinder Singh Gandhi V. Kunal Arora "11. Perusal of the Statement of Objects and Reasons in Amendment Act 26 of 2015 makes it amply clear that insertion of Sections 142(2) and 142-A in the Act of 1881 was a direct consequence of the judgment of this Court in Dashrath Rupsingh Rathod (supra). Therefore, the use of the phrase: 'shall be inquired into and tried only by a Court within whose local jurisdiction.....'in Section 142(2) of the Act 1881 is contextual to the ratio laid down in Dashrath Rupsingh Rathod (supra) to the contrary, whereby territorial jurisdiction to try an offence under Section 138 of the Act of jurisdiction 1881 over vested the in the Court drawee bank and having not the complainant's bank where he had presented the cheque. Section 142(2) now makes it clear that the jurisdiction to try such an offence would vest only in the Court within whose jurisdiction the branch of the Bank where the cheque was delivered for collection, through the account of the payee or holder in due course, is situated. The newly inserted Section 142-A further clarifies this position by validating the transfer of pending cases to the Courts conferred with such jurisdiction after the amendment.

12. The later decision of this Court in Bridgestone India Private Limited Vs. Inderpal Singh [(2016) 2 SCC 75] affirmed the legal position obtaining after the amendment of the Act of 1881 and endorsed that Section 142(2)(a) of the Act of 1881 vests jurisdiction for initiating proceedings for an offence under Section 138 in the Court where the cheque is delivered for collection, i.e., through an Digitally signed by

VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:31 -0200 Rajinder Singh Gandhi V. Kunal Arora account in the branch of the bank where the payee or holder in due course maintains an account. This Court also affirmed that Dashrath Rupsingh Rathod (supra) would not non-suit the company in so far as territorial jurisdiction for initiating proceedings under Section 138 of the Act of 1881 was concerned."

15. It is the contention of the revisionist that the Ld. Trial Court was/ is not having the territorial jurisdiction to try and entertain the complaint u/s 138 NI Act of the complainant.

Now, this Court shall examine the aspect of territorial jurisdiction of the Ld. Trial Court to try and entertain the complaint u/s 138 NI Act of the complainant.

Cheque in question, return memo, copy of legal notice dated 08/03/2024, postal receipt and tracking report were filed by the complainant alongwith his complaint u/s 138 NI Act before the Ld. Trial Court. Cheque in question bearing no. 000004 dated 19/02/2024 amounting to Rs.2,50,000/- drawn on Andhra Bank, Janak Puri, New Delhi was stated to be issued by the accused in favour of the complainant. Return memo of Kotak Mahindra Bank, Vikas Puri, New Delhi and one slip are lying in the Trial Court Record. In the aforesaid slip, it is mentioned that "bank merged take new leaf".

The aforesaid complaint u/s 138 NI Act was filed by the complainant and the same was received by the Ld. Trial Court through digital mode on 29/04/2024. Digitally signed by VIJAY VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:35 -

Rajinder Singh Gandhi V. Kunal Arora It is mentioned by the complainant in para 8 of his complaint u/s 138 NI Act that the aforesaid cheque was presented by him in his bank i.e. Kotak Mahindra Bank, Vikas Puri Branch, New Delhi on 19/02/2024. Complainant has also mentioned the same fact in his legal notice dated 08/03/2024. Complainant in his complaint u/s 138 NI Act and legal notice himself admitted that his bank is Kotak Mahindra Bank, Vikas Puri Branch, New Delhi. It is admitted fact that the aforesaid bank of the complainant is situated within the jurisdiction of PS Vikas Puri. As per aforesaid cheque, bank of the accused i.e. Andhra Bank is situated in Janak Puri, New Delhi. It is also admitted fact that bank of the accused is situated within the jurisdiction of PS Janak Puri.

As per notification no. F.1/3/2013-Judl./P.F./Supdtlaw/671-683 dated 19/07/2016 published in Delhi Gazette, police stations Vikas Puri, Janak Puri and Uttam Nagar were transferred from the West District to South-West District so as to enable the cases under their jurisdiction be filed in the Sessions Division at Dwarka Court complex.

From the aforesaid notification, it is clear that the areas of PS Vikas Puri as well as PS Janak Puri fall within the territorial jurisdiction of South-West District and not within the territorial jurisdiction of West District.

16. It is well settled law that the Revisional Court will usually not interfere with the exercise of discretion by the Ld. Trial Court and the Revisional Court will interfere only, if it is found that the discretion has been exercised arbitrarily, capriciously, perversely or if it is found that the Ld. Trial Court has VIJAY SHANKAR SHANKAR Date:

2025.10.30 16:41:40 -0200 Rajinder Singh Gandhi V. Kunal Arora ignored settled principles of law.

On perusal of impugned order passed by the Ld. Trial Court, it is clear that while passing the impugned order, Ld. Trial Court has not dealt with the aspect of its territorial jurisdiction to try and entertain the complaint u/s 138 NI Act of the complainant.

In view of the law laid down in Shri Sendhur Agro, Prakash Chimanlal Sheth and Yogesh Upadhyay cases (supra) and provisions of Section 142 (2) NI Act, it is clear that the Ld. Trial Court was not having the territorial jurisdiction to try and entertain the complaint u/s 138 NI Act of the complainant.

17. Applying priori and posteriori reasonings and the aforesaid case laws referred by this Court, the present revision petition of the revisionist is allowed. Accordingly, impugned order dated 29/04/2024 passed by the Ld. Trial Court is set-aside. No order as to costs. Nothing stated herein shall tantamount to be an expression of opinion on the merits of the case.

Ld. Trial Court is directed to return the complaint u/s 138 NI Act to the complainant for presenting the same before the Court having territorial jurisdiction to try, entertain and to adjudicate the same.

Trial Court Record be sent back alongwith the copy of this judgment. Revision file be consigned to record room after due compliance.

by VIJAY VIJAY SHANKAR SHANKAR Date:

Announced in the open Court

2025.10.30

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on 30/10/2025

(VIJAY SHANKAR)

ASJ-04 (West)

Tis Hazari Courts, Delhi